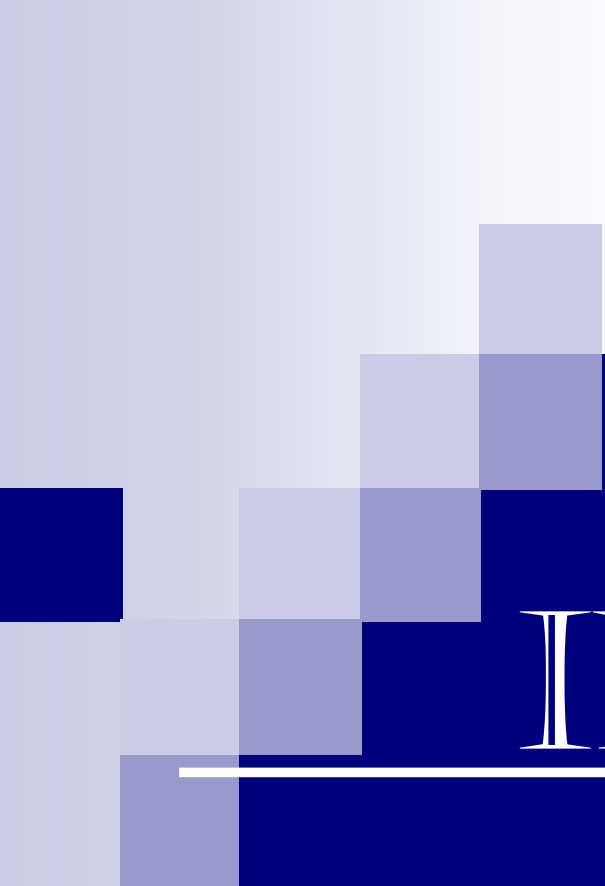




INFLATION

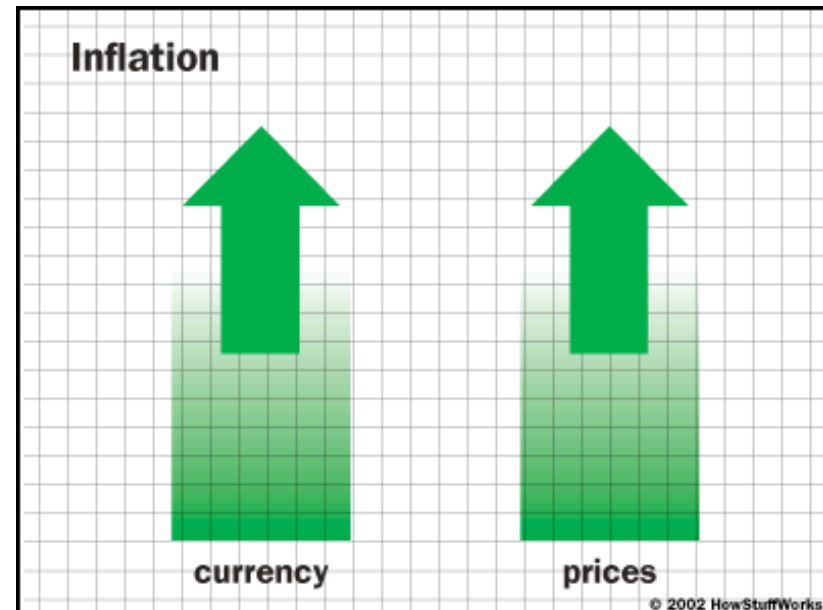


PRESENTATION PLAN

- Introduction.
- Effects on Economy.
- Types of Inflation.
- Reasons of Inflation.
- Measures to Control Inflation .
- Other Terms.

INTRODUCTION.....

“Inflation is a rise in the general level of prices of goods and services in an economy over a period of time.”





■ In economics, inflation is a rise in the general level of prices of goods and services in an economy over a period of time. When the general price level rises, each unit of currency buys fewer goods and services. Consequently, inflation also reflects erosion in the purchasing power of money – a loss of real value in the internal medium of exchange and unit of account within the economy.



EFFECTS ON ECONOMY...

- **GENERAL EFFECT**

- **NEGATIVE EFFECT**

- **POSITIVE EFFECT**



GENERAL EFFECT

- 1. An increase in the general level of prices implies a decrease in the purchasing power of the currency.
- 2. That is, when the general level of prices rises, each monetary unit buys fewer goods and services.



NEGATIVE EFFECT

1. Hoarding (people will try to get rid of cash before it is devalued, by hoarding food and other commodities creating shortages of the hoarded objects).
2. Distortion of relative prices (usually the prices of goods go higher, especially the prices of commodities).
3. Increased risk - Higher uncertainties (uncertainties in business always exist, but with inflation risks are very high, because of the instability of prices).
4. Income diffusion effect (which is basically an operation of income redistribution).

- 
- 5. Existing creditors will be hurt (because the value of the money they will receive from their borrowers later will be lower than the money they gave before).
 - 6. Fixed income recipients will be hurt (because while inflation increases, their income doesn't increase, and therefore their income will have less value over time).
 - 7. Increased consumption ratio at the early stages of inflation (people will be consuming more because money is more abundant and its value is not lowered yet).

- 
- 8. Lowers national saving (when there is a high inflation, saving money would mean watching your cash decrease in value day after day, so people tend to spend the cash on something else).
 - 9. Illusions of making profits (companies will think they were making profits while in reality they're losing money if they don't take into consideration the inflation rate when calculating profits).
 - 10. Causes an increase in tax bracket (people will be taxed a higher percentage of their income increases following an inflation increase).

- 
- 11. Causes mal-investment (in inflation times, the data given about an investment is often deceptive and unreliable, therefore causing losses in investments).
 - 12. Causes business cycles (many companies will have to go out of business because of the losses they incurred from inflation and its effects).
 - 13. Currency debasement (which lowers the value of a currency, and sometimes cause a new currency to be born)
 - 14. Rising prices of imports (if the currency is debased, then its purchasing power in the international market is lower).



POSITIVE EFFECT...

1. It can benefit the inflators (those responsible for the inflation)
2. It is benefit early and first recipients of the inflated money (because the negative effects of inflation are not there yet).
3. It can benefit the cartels (it benefits big cartels, destroys small sellers, and can cause price control set by the cartels for their own benefits).



4. It might relatively benefit borrowers who will have to pay the same amount of money they borrowed (+ fixed interests), but the inflation could be higher than the interests; therefore they will be paying less money back. (example, you borrowed \$1000 in 2005 with a 5% fixed interest rate and you paid it back in full in 2007, let's suppose the inflation rate for 2005, 2006 and 2007 has been 15%, you were charged 5% of interests, but in reality, you were earning 10% of interests, because $15\% \text{ (inflation rate)} - 5\% \text{ (interests)} = 10\% \text{ profit}$, which means you have paid only 70% of the real value in the 3 years.

Note: Banks are aware of this problem, and when inflation rises, their interest rates might rise as well. So don't take out loans based on this information.

- 
- 5. Many economists favor a low steady rate of inflation, low (as opposed to zero or negative) inflation may reduce the severity of economic recessions by enabling the labor market to adjust more quickly in a downturn, and reducing the risk that a liquidity trap prevents monetary policy from stabilizing the economy. The task of keeping the rate of inflation low and stable is usually given to monetary authorities. Generally, these monetary authorities are the central banks that control the size of the money supply through the setting of interest rates, through open market operations, and through the setting of banking reserve requirements.



TYPES OF INFLATION..

- **Demand pull Inflation .**
- **Cost push theory .**
- **Pricing power Inflation .**
- **Sectoral Inflation .**



DEMAND PULL INFLATION..

- It is caused by increases in aggregate demand due to increased private and government spending.



■ Demand-pull inflation is caused by increases in aggregate demand due to increased private and government spending, etc. Demand inflation is constructive to a faster rate of economic growth since the excess demand and favorable market conditions will stimulate investment and expansion. Demand-pull inflation is asserted to arise when aggregate demand in an economy outpaces aggregate supply. It involves inflation rising as real gross domestic product rises and unemployment falls, as the economy moves along the Phillips curve.

Price
Level

P3

P2

P1

AD1

AD2

AD3

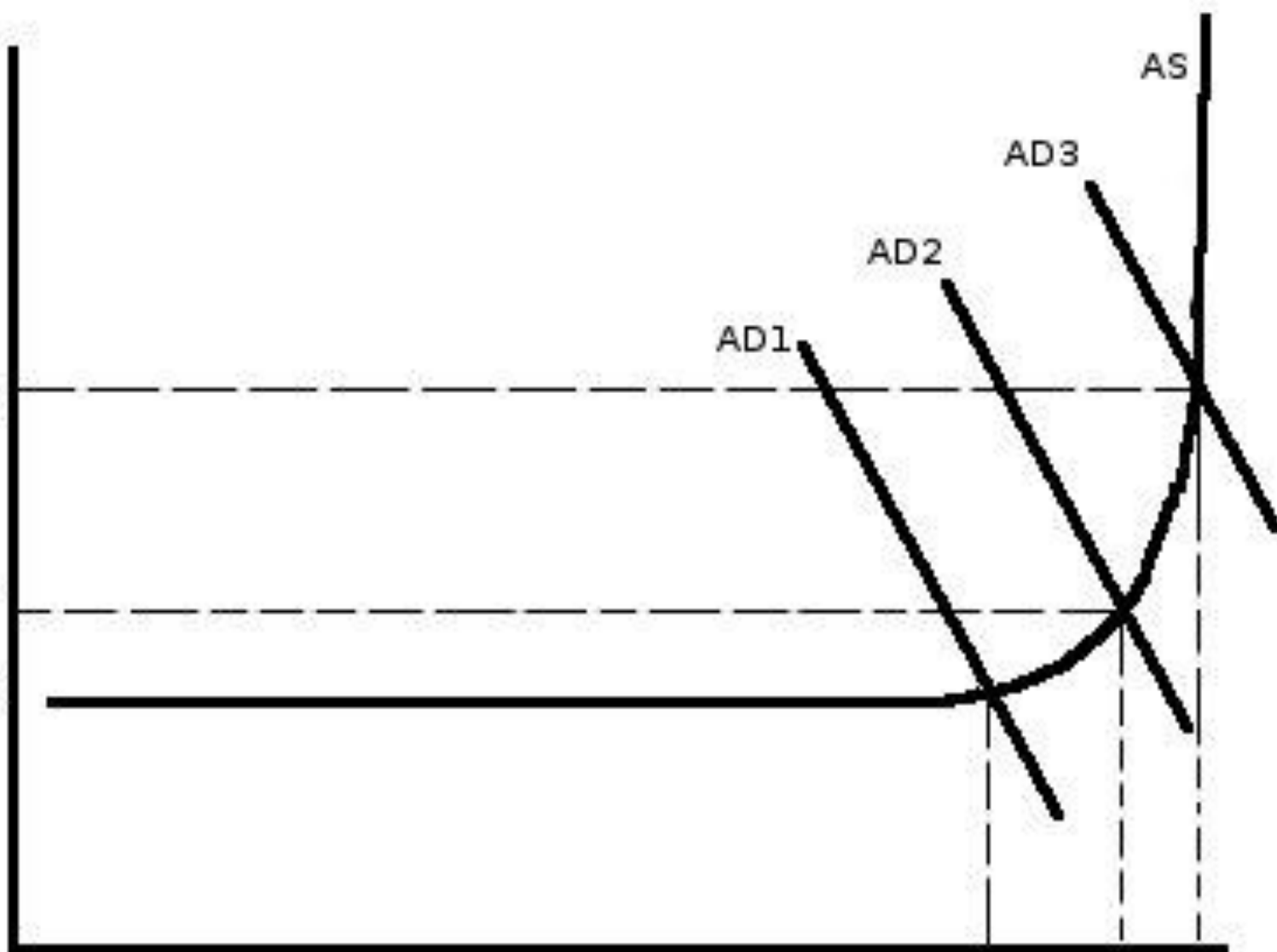
AS

Output

Y1

Y2

Y3



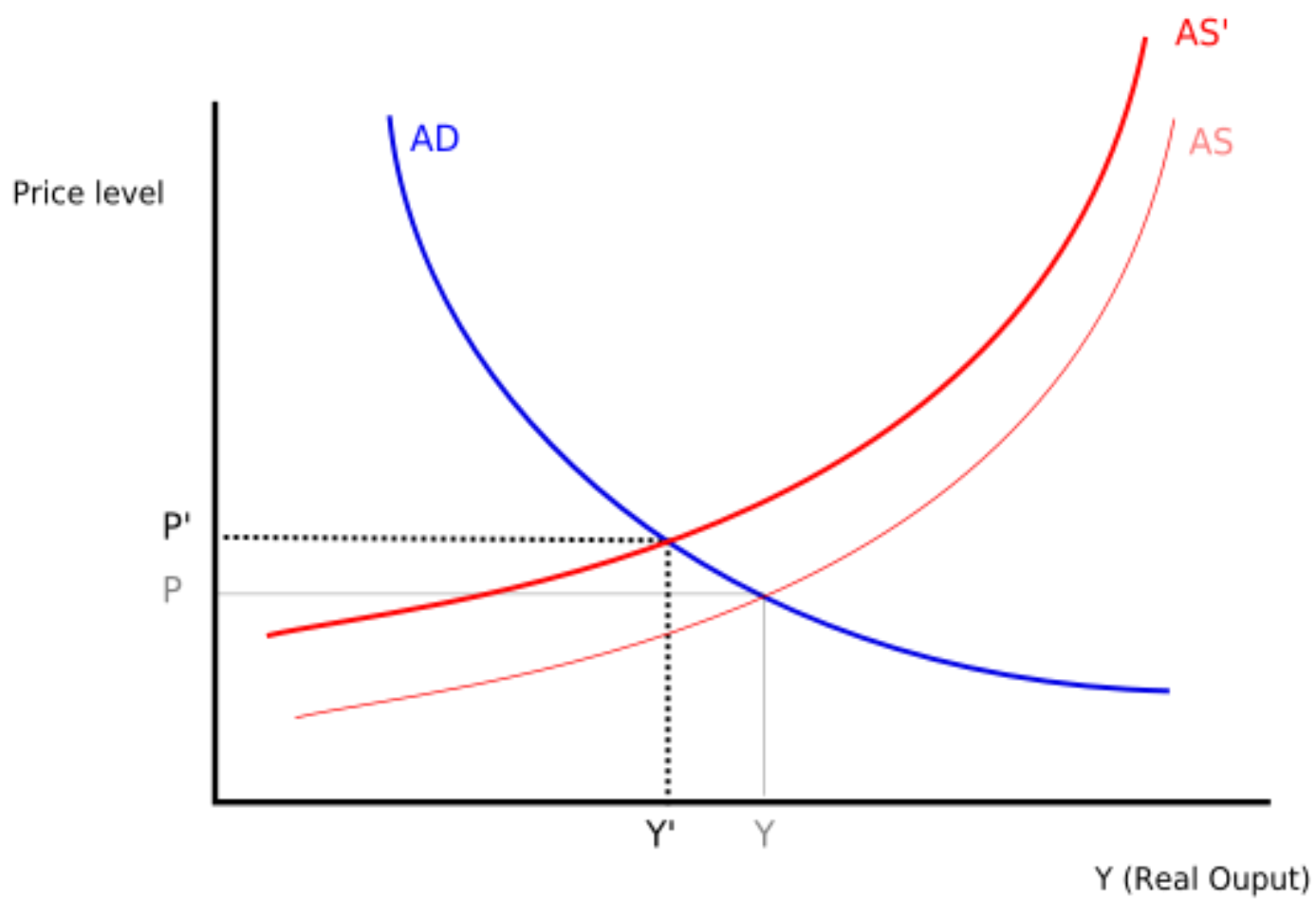


COST PUSH INFLATION..

- It is also called “supply shock inflation”, is caused by a drop aggregate supply .
- This may due to natural disasters , or increased prices of inputs..



■ Cost-push inflation, also called "supply shock inflation," is caused by a drop in aggregate supply (potential output). This may be due to natural disasters, or increased prices of inputs. For example, a sudden decrease in the supply of oil, leading to increased oil prices, can cause cost-push inflation. Producers for whom oil is a part of their costs could then pass this on to consumers in the form of increased prices. Another example stems from unexpectedly high Insured Losses, either legitimate (catastrophes) or fraudulent (which might be particularly prevalent in times of recession).





PRICING POWER INFLATION.

- **Pricing Power Inflation is more often called as administered price Inflation..**
- **This type of Inflation occurs when the business houses and industries decide to increase the price of their respective goods and services to increase their profit margins.**



SECTORAL INFLATION...

- **The Sectoral Inflation takes place when there is an increase in the price of the goods and services produced by a certain sector of industries ...**



REASONS OF INFLATION

- Lack of balance in the country's budget.
- Financial problem, financing the deficit of money by printing.
- Sudden increase in production costs.
- Significant increase in the level of energy resources.
- Faulty structure of the economy .
- Exported goods far exceeding imported ones.
- Too many monopolies in the economy.
- Imported Inflation .
- Problems with financial planning.



MEASURES TO CONTROL INFLATION...

- **MONETARY POLICY**

- **FISCAL POLICY**

- **OTHER MEASURES**



MONETARY POLICY...

1.It aims at reducing money supply in the market.

2.Credit control

3.Issue of new currency



FISCAL POLICY..

- 1.It Majorly pertains to taxation and interest policies .*
- 2.Reduction in unnecessary expenditure
- 3.Increase in tax
- 4.Increase in saving
- 5.Surplus budget
- 6.Public debt



OTHER MEASURES ...

1. Increase production.
2. Rationale wage policy.
3. Price control.
4. Rationing.



OTHER TERMS

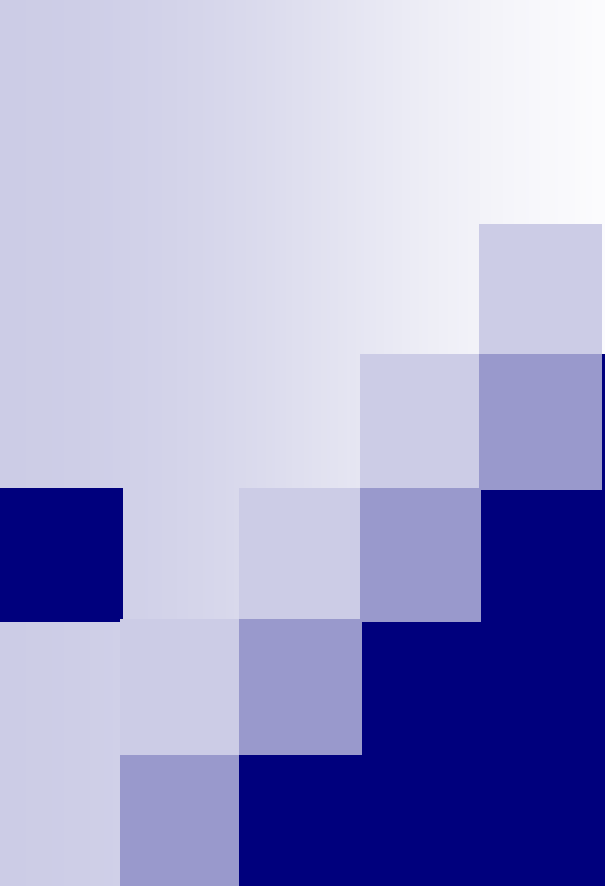
- **Deflation:** a fall in the general price level.
- **Disinflation:** a decrease in the rate of inflation.
- **Hyperinflation:** an out-of-control inflationary spiral.

- 
- **Stagflation:** a combination of inflation, slow economic growth and high unemployment.
 - **Reflation:** an attempt to raise the general level of prices to counteract deflationary pressures.
 - **Depression:** a severe and prolonged recession characterized by inefficient economic productivity, high unemployment and falling price levels.



Presented by
ANUP KUMAR
MANDAL

PSTU



THANKS